



AI Objectives Institute

Comment on Request for Information on the Development of an Artificial Intelligence (AI) Action Plan

Thank you for the opportunity to comment on the NSF and NITRD NCO's request for information(RFI) on the Development of an Artificial Intelligence Action Plan.

The United States leads the world in Artificial Intelligence development, a position earned through deliberate strategy rather than chance. This AI leadership stems directly from the vigor and innovation of American private enterprise, especially in software development, internet technologies, and information systems. Yet AI adoption is currently bottlenecked by uncertainty around organisational risk. We cannot accelerate growth if enterprises do not trust that they can reliably control this technology. **The most effective approach to AI security will involve private-sector contributions and market-driven approaches to risk mitigation.**

The inherent stochasticity of modern transformer-based architectures makes contemporary AI models unpredictable. In order for them to be deployed into critical sectors of the American economy – healthcare, infrastructure, supply chain, defence and manufacturing – we need the ability to understand and secure their implementation. Businesses are uncertain about how to measure, mitigate and govern the security threats posed by AI integration into their organizations. Notwithstanding the potential economic advantages, this issue persists as a significant impediment to the diffusion of AI technologies throughout the economy.

To address this market failure we should foster a robust, market-driven AI security ecosystem – one that responds to the market's demand for reliability, assurance and interpretability. Numerous vectors for market governance of AI are already underway. [In our recent paper, we identify insurance, auditing, procurement, and due diligence, which address risk and uncertainty in order to unlock adoption and enhance national security.](#)



Some vectors for market governance:

This market governance of AI opens up distinct opportunities for both public and private involvement – strengthening national security and increasing speed of adoption across critical sectors.

Insurance

As AI systems become more complex, agentic, and autonomous, the potential for unintended consequences increases alongside prospective financial losses – insurance gives enterprises peace of mind and the financial security necessary to deploy AI systems at scale. Insurance also functions as a powerful governance mechanism, shaping AI development through risk-based pricing, underwriting standards, and risk assessment – incentivising firms to adopt security practices and strengthening national resilience. The uniquely complex risk profiles of AI systems – characterized by both scale and high variance – create natural market conditions for novel insurance products. This reflects the insurance sector's historical role in facilitating technological adoption through [systematic risk distribution](#) and [indemnity](#).

The cyberrisk insurance sector provides a crucial precedent for AI risk management, demonstrating how robust insurance markets can incentivize organizations to strengthen their defenses and ultimately reduce societal risk. As AI becomes integrated into the value creation of major industries, building upon existing insurance infrastructure rather than creating entirely new AI-specific policies offers a practical pathway forward, risk evaluation may be hard but numerous [initiatives are underway](#). Societal-scale AI incidents, whether accidental or from bad actors, may eventually prompt the development of catastrophe bond markets to transfer liability from the insurance sector to capital markets, providing a key backstop for societal resilience.

Assurance

Assurance markets services are necessary to enable trust between organisations providing AI services. Security services and audits, enable enterprise customers and consumers to trust the companies providing AI services facilitating adoption. Well-incentivised auditors enhance the resilience of a sector and minimise losses, accidents and liabilities. [AI assurance markets](#), sometimes described as the [def/acc ecosystem](#) – respond to market demand for security and are increasingly part of the AI assurance ecosystem.



Auditing resolves the tension between system opacity and public disclosure, offering an intermediary solution that enables independent assessment while maintaining security protocols. While complete system opacity maximizes firm-level security at the expense of systemic fragility, and comprehensive disclosure enhances scrutiny but risks exposing proprietary technology, audits provide third-party verification of first-party claims without compromising competitive advantages. By validating AI system capabilities through structured evaluation frameworks, auditing creates the assurance necessary for wider adoption while simultaneously ensuring security standards are maintained.

Procurement Standards

The U.S. military is the world's largest customer, surpassing the total expenditures of most nation-states. This substantial spending is dictated by procurement standards, which, in turn, influence the behaviour of commercial suppliers seeking to secure highly lucrative government contracts. These comprehensive standards provide crucial assurance mechanisms that verify product quality, security features, and operational reliability before acquisition, creating a powerful trust framework that enables confident technology adoption even for mission-critical applications.

These guidelines and principles function as bottom-up market governance mechanisms that effectively regulate industries while driving innovation and enhancing security postures across entire supply chains. Similarly, in the commercial sector, multinational corporations implement procurement protocols that significantly influence supplier practices across multiple domains, cultivating enhanced security awareness throughout global supply chain architectures. This phenomenon demonstrates how procurement standards transcend their conventional role as mere operational guidelines to become foundational trust mechanisms that enable confident technology adoption while systematically elevating security standards across entire industries.

Conclusion

Unlike regulation, market governance possesses the distinct advantage of embedding its own enforcement and incentive structures – the flow of capital. Regulatory initiatives for AI, on the other hand, have faced increasing criticism for being anticompetitive, anti-capitalist, and anti-growth – for hampering the private sector's ability to innovate by imposing burdensome requirements.

A broad array of policy strategies are available towards market governance of AI – from complete self-governance to government mandated targets with punitive enforcement. From regulatory markets, where governments set strict benchmarks which independent entities must verify to public-private partnerships between AI security institutes and insurers. Remaining grounded in market forces can prove an important heuristic for [balancing security and government control with the destabilising effects of large-scale AI adoption](#).

By adopting a dynamic, market-centric approach to AI Governance we can enhance national security, accelerate technological diffusion and navigate the narrow corridor between authoritarian control and anarchy.

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